TESLA, INC.

Form 10-K Summary — Fiscal Year Ended December 31, 2024

NASDAQ: TSLA | Austin, Texas | Filed January 29, 2025

Company Overview

Tesla, Inc. is a Texas-incorporated company headquartered in Austin, Texas, that designs, manufactures, and sells electric vehicles and energy generation and storage products. The company operates two reportable segments: Automotive (vehicle sales, leasing, regulatory credits, and services) and Energy Generation and Storage (solar and battery storage products such as Megapack and Powerwall).

Active vehicle production spans Model S, Model X, Model 3, Model Y, and Cybertruck across factories in California, Shanghai, Berlin, and Texas, with the Tesla Semi in pilot production in Nevada and the Cybercab and Roadster in development. In Q1 2025, Tesla began a worldwide rollout of the updated Model Y.

Elon Musk serves as Chief Executive Officer; Vaibhav Taneja serves as Chief Financial Officer. The filing was signed January 29, 2025, and audited by PricewaterhouseCoopers LLP.

Financial Highlights (FY2024 vs. FY2023 vs. FY2022)

Metric ($M)	2024	2023	2022	YoY % Chg
Total revenue	97,690	96,773	81,462	+1%
Total gross profit	17,450	17,660	20,853	-1%
Gross margin	17.9%	18.2%	25.6%	-30 bps
Income from operations	7,076	8,891	13,656	-20%
Operating margin	7.2%	9.2%	16.8%	-200 bps
Net income (attrib. to common)	7,091	14,997	12,556	-53%
Diluted EPS ($)	2.04	4.30	3.62	-53%
Total assets	122,070	106,618	N/A	+14%
Total liabilities	48,390	43,009	N/A	+13%
Total stockholders' equity	72,913	62,634	45,489	+16%
Cash & short-term investments	36,563	29,094	N/A	+26%

Note: Net income in 2023 was inflated by a $6.54 billion one-time release of the U.S. deferred tax asset valuation allowance, which does not recur in 2024. Excluding this effect, underlying pre-tax profitability declined mainly due to automotive pricing pressure and a $684 million restructuring charge.

Revenue by Segment

Segment ($M)	2024	2023	2022
Automotive sales	72,480	78,509	67,210
Automotive regulatory credits	2,763	1,790	1,776
Automotive leasing	1,827	2,120	2,476
Services and other	10,534	8,319	6,091
Energy generation & storage	10,086	6,035	3,909
Total revenue	97,690	96,773	81,462

Automotive sales revenue fell 8% year-over-year, driven by lower average selling prices, ~22,000 fewer combined Model 3/Model Y cash deliveries, and increased financing incentives — partially offset by Cybertruck ramp-up and $596 million of newly recognized FSD (Supervised) revenue. Regulatory credit revenue rose 54% as other automakers scaled back EV plans. Energy storage revenue grew 67%, driven by a 16.7 GWh increase in Megapack and Powerwall deployments.

Revenue by geography: United States $47,725M, China $20,944M, Other international $29,021M (FY2024).

Profitability & Operating Expenses

Item ($M)	2024	2023	2022
Gross profit — Automotive & Services	14,810	16,519	20,565
Gross profit — Energy	2,640	1,141	288
R&D expense	4,540	3,969	3,075
SG&A expense	5,150	4,800	3,946
Restructuring and other	684	—	176
Income from operations	7,076	8,891	13,656
Interest income	1,569	1,066	297
Interest expense	(350)	(156)	(191)
Other income (expense), net	695	172	(43)
Provision for (benefit from) income taxes	1,837	(5,001)	1,132
Net income	7,153	14,974	12,587

Total automotive gross margin compressed to 18.4% in 2024 from 19.4% in 2023 and 28.5% in 2022, reflecting sustained price cuts and mix shift. R&D spend rose 14%, largely on AI programs; a Q2 2024 restructuring eliminated roles company-wide at a cost of $583 million in termination expenses.

Cash Flow Summary

Cash Flow ($M)	2024	2023	2022
Net cash from operating activities	14,923	13,256	14,724
Net cash used in investing activities	(18,787)	(15,584)	(11,973)
Net cash from (used in) financing activities	3,853	2,589	(3,527)
Net change in cash & restricted cash	(152)	265	(1,220)
Cash, equivalents & restricted cash, end of period	17,037	17,189	16,924

Capital expenditures (property & equipment, net of sales) were $11.34 billion in 2024, up from $8.90 billion in 2023, reflecting continued Gigafactory and AI-infrastructure buildout. Tesla expects capex to exceed $11.0 billion annually in 2025 and the following two fiscal years. Financing activities turned net positive on $5.74 billion of new debt issuance.

Balance Sheet Snapshot (as of Dec 31, 2024)

Item ($M)	Dec 31, 2024	Dec 31, 2023
Cash and cash equivalents	16,139	16,398
Short-term investments	20,424	12,696
Total current assets	58,360	49,616
Property, plant & equipment, net	35,836	29,725
Total assets	122,070	106,618
Total current liabilities	28,821	28,748
Total debt & finance leases (net carrying)	2,456 (current) / 5,757 (LT)	2,373 (current) / 2,857 (LT)
Total liabilities	48,390	43,009
Total stockholders' equity	72,913	62,634

Tesla ended 2024 with $36.6 billion of combined cash, cash equivalents and short-term investments plus $5.0 billion of unused committed credit — a strong liquidity position relative to $7.91 billion of total outstanding indebtedness (of which only $2.35 billion is current).

Key Risk Factors

- Demand & pricing risk: Reliance on aggressive pricing and financing incentives to sustain vehicle demand pressures margins; competition from established and new EV entrants is intensifying globally, especially in China.
- Production & execution risk: Simultaneous manufacturing ramps across three continents (New Model Y, Cybertruck, Semi, next-generation platform) create execution and supply-chain risk; prior disruptions included Red Sea shipping diversions and an arson attack at Gigafactory Berlin.
- Regulatory credit dependency: A meaningful share of profitability is tied to regulatory credit sales, which are vulnerable to changing emissions regulations and other automakers' EV strategies.
- Technology & autonomy risk: Future growth is linked to advances in autonomy (FSD) and new products (Cybercab, Roadster, next-gen platform, battery cell technology), which carry substantial technical and regulatory uncertainty.
- Capital intensity: Capital expenditures are expected to exceed $11 billion annually through 2027, requiring continued access to capital markets or internally generated cash flow.
- Tax & valuation allowance volatility: A $1.22 billion valuation allowance remains on certain deferred tax assets (California, U.S. foreign tax credits, some foreign losses), and effective tax rates have shown large period-to-period swings.
- Foreign currency & international exposure: Significant unhedged intercompany balances create foreign exchange volatility in reported earnings; large international operations subject to geopolitical and trade risk (e.g., China).
- Digital asset exposure: Holds Bitcoin (fair value $1.08 billion at year-end) subject to fair-value remeasurement through earnings under newly adopted crypto accounting rules, adding earnings volatility.
- Legal, cybersecurity & governance: Ongoing legal proceedings, cybersecurity threats, and reliance on key personnel including CEO Elon Musk, who also leads multiple other companies (e.g., SpaceX, X Corp., The Boring Company).

Growth Drivers

- Energy storage momentum: Megapack and Powerwall deployments grew 67% in revenue with segment gross margin expanding to 26.2% from 18.9%, aided by IRA manufacturing credits.
- New product ramp: Cybertruck production scaling, Tesla Semi in pilot production, and Cybercab/Roadster in development broaden the addressable product line.
- Software & services monetization: FSD (Supervised) feature releases ($596 million recognized in 2024) and a growing services & other business (+27% YoY) diversify revenue beyond vehicle sales.
- AI infrastructure investment: Property, plant & equipment additions in AI infrastructure grew more than 3x year-over-year (from $1.51 billion to $5.15 billion), supporting autonomy and AI-enabled product development.
- New Model Y global launch: The updated Model Y rollout beginning Q1 2025 is expected to reinvigorate core vehicle demand.
- Balance sheet strength: $36.6 billion in cash and short-term investments plus $5.0 billion of undrawn credit provide flexibility to fund growth without near-term reliance on equity issuance.

Source: Tesla, Inc. Form 10-K for the fiscal year ended December 31, 2024, filed with the U.S. Securities and Exchange Commission on January 29, 2025. This summary is for informational purposes only and does not constitute investment advice.